

24STCV04927 24STCV04927

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 24STCV04927 Hearing Date: August 12, 2026 Dept: 11

Preliminary

Approval of Class Action Settlement

Department

SSC-11

Eugene

Zaldivar, Jr. v. Alakor Healthcare LLC

Case No.: 24STCV04927

Hearing: August 12,
2026

TENTATIVE

RULING

Continue

for counsel to address the issues noted in the accompanying checklist.

BACKGROUND

This is a wage and hour class action. On February 28, 2024, Eugene Zaldivar, Jr. ("Plaintiff" or "Zaldivar"), individually and on behalf of all others similarly situated, filed a putative class action against Defendant Alakor Healthcare LLC ("Defendant" or "Alakor") and Does 1 through 50 asserting the following causes of action: (1) Unfair Competition in Violation of Cal. Bus. & Prof. Code §§17200; (2) Failure to Pay Minimum Wages in Violation of Cal. Lab. Code

§§1194, 1197 & 1197.1; (3) Failure to Pay Overtime Wages in Violation of Cal. Lab. Code §510; (4) Failure to Provide Required Meal Periods in Violation of Cal. Lab. Code §§226.7 & 512 and the Applicable IWC Wage Order; (5) Failure to Provide Required Rest Periods in Violation of Cal. Lab. Code §§226.7 & 512 and the Applicable IWC Wage Order; (6) Failure to Provide Accurate Itemized Statements in Violation of Cal. Lab. Code §226; (7) Failure to Reimburse Employees for Required Expenses in Violation of Cal. Lab. Code §2802; (8) Failure to Provide Wages When Due in Violation of Cal. Lab. Code §§201, 202 and 203; and (9) Failure to Pay Sick Pay Wages in Violation of Cal. Lab. Code §§201-203, 233, 246.

On October 20, 2023, Plaintiff filed with the Labor and Workforce Development Agency ("LWDA") and served on Defendant a notice under Labor Code section 2699.3 regarding alleged Labor Code violations. (Declaration of Kyle Nordrehaug ("Nordrehaug Decl."), ¶7, Ex. 3.)

On August 19, 2024, Defendant filed a Notice of Related Case, listing Zaldivar v. Alakor Healthcare LLC, Case No. 24NNCV00091 ("PAGA Action"). Plaintiff filed the separate PAGA action on March 4, 2024, asserting claims against Alakor for (1) civil penalties pursuant to the Private Attorneys General Act ("PAGA"), (2) wrongful termination in violation of public policy, and (3) retaliation in violation of Labor Code §1102.5, et seq. On September 10, 2024, the Court found that the instant case (24STCV04927) is not related to Case No. 24NNCV00091 within the meaning of California Rules of Court, rule 3.300(a).

On January 24, 2025, the Court approved the parties' Stipulation and Protective Order.

On October 8, 2025, the parties attended a full-day mediation session with Lou Marlin, and based on a mediator's proposal, reached a settlement. (Nordrehaug Decl., ¶¶5, 12.) A copy of the fully executed Class and PAGA Settlement Agreement ("Settlement Agreement" or "Agreement") is attached to counsel Nordrehaug's declaration as Exhibit 1. A redlined version of the Los Angeles Superior Court Model Agreement is attached as Exhibit 2.

On February 11, 2026, the Court granted Plaintiff leave to file an amended complaint, pursuant to the stipulation of the parties. On the same day, Plaintiff filed the Operative First Amended Class and Representative Action Complaint ("FAC") adding a cause of action for violation of the PAGA (Labor Code §§2698, et seq.). On February 23, 2026, pursuant to Plaintiff's

Request for Dismissal, the Court dismissed Case No. 24NNCV00091 without prejudice.

Now before

the Court is the Motion for Preliminary Approval of Class Settlement ("MPA"), filed on April 1, 2026. Additional supporting documents were filed on April 27 and June 30, 2026.

SETTLEMENT

CLASS DEFINITION

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"Class"

means all individuals who are or previously were employed by Defendant Alakor Healthcare LLC who were classified as non-exempt in the State of California at any time during the Class Period. (¶1.5)

o "Class Period" means the period of time from February 28, 2020, through December 8, 2025. (¶1.13)

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"Aggrieved Employees" means all individuals who are or previously were employed by Defendant Alakor Healthcare LLC who were classified as non-exempt in the State of California at any time during the PAGA Period. (¶1.4)

o "PAGA Period" means the period of time from October 20, 2022, through December 8, 2025. (¶1.32)

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According to the Notice at pages 1, 5, and 8, and the Proposed Order at ¶9, the

PAGA Period begins on January 11, 2023.

However, according to the Settlement Agreement, the PAGA Period begins on October 20, 2022. (¶1.32) Address this inconsistency.

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The

Parties agree that class certification and representative treatment is for

purposes of this Settlement only. (¶13.1)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as
follows:

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The

Gross Settlement Amount is \$1,150,000, non-reversionary. (¶¶1.23, 3.1)

o Escalator Clause: If

Actual Workweeks exceed Estimated Workweeks by more than 7%, then GSA increases
by 1% for each additional 1% above 7%, rounded to the nearest tenth prior to
funding.. For example, if the number of Workweeks is 8% higher, the Gross
Settlement Amount will be increased by 1%. Any increase to the Gross Settlement
Amount shall be made prior to the hearing on the Motion for Preliminary
Approval. (¶9)

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The

Net Settlement Amount ("Net") (\$665,567)
is the GSA minus the following:

o Up to \$383,333

(1/3 of GSA) for attorney fees (¶3.2(b));

o Up to \$44,000

for costs of litigation (Ibid.);

o Up to \$15,000

for a Class Representative Service Award (¶3.2(a));

§

Each Plaintiff's Class Representative

payment should not exceed \$7,500, absent substantial justification. Provide justification for a payment of
\$15,000.

o Up to \$12,100 for settlement

administration costs (§3.2(c));

o

Payment of \$30,000

PAGA penalty (\$22,500 or 75% to the LWDA) (§3.2(d)).

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Employer

Taxes. Defendant will

separately pay employer-side payroll taxes owed on the Wage Portions of the Individual Class Payments. (§3.1)

· There is no claim form requirement: "Participating Class Member"

means a Class Member who does not submit a valid and timely Request for Exclusion. (§1.36)

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"Response

Deadline" means sixty (60) calendar days after the Administrator mails Class Notice Packet to Class Members and Aggrieved Employees and shall be the last date on which Class Members may: (a) submit Requests for Exclusion from the Settlement, or (b) submit his or her Objection to the Settlement. Class Members to whom Class Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired.

(§§1.43, 8.4(d)) The

same deadlines apply to submission of workweek disputes, which must be submitted via fax, email, or mail. (§8.6)

o If the number of valid Requests for Exclusion identified in the Exclusion List exceeds 5% of the total of all Class Members, Defendant may, but is not obligated, elect to withdraw from the Settlement. (§10)

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Individual

Class Payment Calculation:

An Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. (§3.2(e)) Non-Participating Class Members will not

receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (¶3.2(e)(ii))

o Tax Allocation:

20% wages; 80% interest and penalties. (¶3.2(e)(i))

· Individual PAGA Payment

Calculation: The Administrator will calculate

each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties (\$7,500) by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods. (¶3.2(d)(i))

If the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (¶3.2(d)(ii))

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Tax Allocation: The

Administrator will report the Individual PAGA Payments on IRS 1099 Forms. (¶3.2(d)(ii))

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Funding

of Settlement Defendant shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than fourteen (14) days after the Effective Date. (¶4.3)

o "Effective Date" means the date on which both occur: (a) the Court enters Judgment granting final approval, and (b) the Judgment becomes Final (as defined). (¶1.19)

"Judgment" means the Court Judgment is final as of the latest of the following occurrences: (a) if no Participating Class Member objects to the Settlement, the day the Court enters Judgment; (b) if one or more Participating Class Members objects to the Settlement, the day after the deadline for filing a notice of appeal from the Judgment; or if a timely appeal from the Judgment is filed, the day after the appellate court affirms the Judgment and issues a remittitur. (¶1.20)

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Distribution. Within 14 days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. (§15.1)

o Ensure

that the disbursement of the Class Counsel Fees and Litigation Expenses Payments and the Class Representative Service Payment does not precede disbursement of the Individual Class and Individual PAGA Payments.

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Uncashed

Settlement Checks. The face of each check shall prominently state the “void date”, which is 180 days after the date of mailing, when the check will be voided. The Administrator will cancel all checks not cashed by the void date. (§15.2) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to a Court-approved nonprofit organization or foundation consistent with Code of Civil Procedure Section 384(b), Legal Aid at Work (“Cy Pres Recipient”). The Parties, Class Counsel and Defense Counsel represent that they have no interest or relationship, financial or otherwise, with the intended Cy Pres Recipient. If Legal Aid at Work is not approved, Parties meet and confer to select an alternative consistent with CCP 384 and Court guidance. (§15.4)

o “Defendant is not aware of any actual or

potential conflict of interest between Defendant and Legal Aid at Work.

Defendant has no known financial interest, ownership interest, management interest, or other relationship with Legal Aid at Work that would impair its suitability as the proposed cy pres recipient.”

(Declaration of Kevin Smith, §15.)

o Detail the

steps that will be taken to ensure compliance with Code of Civil Procedure section 384, which requires that the Court re-open judgments following the final distribution of funds to include the cy pres in the judgment and to include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current

terms of the settlement.

o Explain

why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate.

o Provide sworn

declarations from Class Counsel, Plaintiff, and Defendant's counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the cy pres recipient.

o Why is it

proper for Aggrieved Employees' uncashed checks to be directed to a cy pres recipient instead of the State Controller's Unclaimed Property Fund?

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Apex

Class Action LLC will act as administrator for the settlement. (¶¶1.2, 8.1; see Declaration of Michael Sutherland.)

· The proposed Settlement Agreement was submitted to the LWDA on April 27, 2026. (4-27-26 Proof of Service.)

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Participating

class members and the named Plaintiff will release certain claims against Defendant. (See further discussion below.)

ANALYSIS

OF SETTLEMENT AGREEMENT

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Does a presumption of fairness exist?

1. Was the settlement reached through arm's-length bargaining? Yes. On October 8, 2025, the parties attended a full-day mediation session with Lou Marlin, and based on a mediator's proposal, reached a settlement. (Nordrehaug Decl., ¶¶5, 12.) A copy of the fully

executed Class and PAGA Settlement Agreement ("Settlement Agreement" or "Agreement") is attached to counsel Nordrehaug's declaration as Exhibit 1. A redlined version of the Los Angeles Superior Court Model Agreement is attached as Exhibit 2.

2. Were investigation and discovery sufficient to allow counsel and the court to act intelligently? Yes.

Class Counsel represents that, over the course of litigation, the parties engaged in the investigation of the claims, including both formal and informal discovery, and the production of hundreds of pages of documents, class data, and other information, allowing for the full and complete analysis of liabilities and defenses to the claims in the Action. The information for mediation obtained by Plaintiff included: (1) data concerning the class; (2) payroll data and time punch data for the Class covering 357 employees, 92,442 shifts worked, and 30,999 workweeks; (3) Defendant's wage and hour policies; (4) the employment file for the Plaintiff; and, (5) samples of wage statements provided by Defendant. As such, Class Counsel received the data and information for the Class, which was sufficient for Plaintiff's expert to prepare the valuations of the claims for the Class.

(Id. at ¶10)

3. Is counsel experienced in similar litigation? Yes. Class Counsel represent that they are experienced in class action litigation, including wage and hour class actions. (Nordrehaug Decl., ¶31, Ex. 4.)

4. What percentage of the class has objected? This cannot be determined until the fairness hearing. (See Weil & Brown, Cal. Practice Guide:

Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ["Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing."].)

CONCLUSION: The settlement is entitled to a presumption of fairness.

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Is the settlement fair, adequate, and reasonable?

1. Strength of Plaintiff's case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

Class Counsel
provided information, summarized below, regarding the potential value of each
claim asserted:

Violation

Maximum
Exposure

Risk-Adjusted
Exposure

Unpaid Wages (Rounding)

\$14,200

\$5,325

Unpaid Wages (OTC)

\$1,409,626

\$352,407

Meal Period Violations

\$1,644,363

\$411,091

Rest
Period Violations

\$2,019,675

\$181,771

Unreimbursed
Business Expenses

\$43,895

\$21,948

Waiting Time Penalties

\$1,943,142

\$121,446

Wage

Statement Violations

\$871,250

\$54,453

PAGA

Penalties

\$980,650 to \$1,961,300

\$98,065

TOTAL

\$8,926,801 to \$9,907,451

\$1,246,506

(Nordrehaug

Decl., ¶¶6, 33.)

2. Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status through

trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 ["Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate."].)

4. Amount offered in settlement. The \$1,150,000 settlement amount represents approximately 11.6 to 12.9% of Defendant's maximum potential exposure and 92.3% of Defendant's risk-adjusted potential exposure, which is in the ballpark of reasonableness.

The \$1,150,000 settlement amount, if reduced by the requested deductions, will leave \$665,567 to be divided among approximately 357 class members. The resulting payments will average \$1,864.33 per class member [\$665,567 Net / 357].

5. Extent of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, are experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the final fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

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Scope of the release

Effective on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Participating Class Members, Aggrieved Employees and the LWDA will release claims against all Released Parties as follows: (¶6)

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Release

Participating Class Members: All

Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from the Released Class Claims. (¶6.2)

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“Released Class

Claims”: means all claims that were

alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint which occurred during the Class Period during employment in a non-exempt position in California. Except as expressly set forth in this Agreement, Participating Class Members do not release any other claims, including Plaintiff’s claims individual claims which are subject to a separate Confidential Settlement Agreement, claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers’ compensation, or claims based on facts occurring outside the Class Period.

(¶1.39)

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Release of PAGA

Claims. All Aggrieved Employees

and the LWDA are deemed to release, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, the Released Parties from the Released PAGA Claims. (¶6.3)

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“Released PAGA

Claims”: means all claims for PAGA

penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice, which occurred during the PAGA Period during employment in a nonexempt position in California. The Released PAGA Claims do not include other PAGA claims, Plaintiff's individual claims which are subject to a separate Confidential Settlement Agreement, underlying wage and hour claims, claims for wrongful termination, discrimination, unemployment insurance, disability and worker's compensation, and claims outside of the PAGA Period. (§1.40)

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"PAGA Notice"

means the Plaintiff's October 20, 2023, letter to Defendant and the LWDA providing notice pursuant to Labor Code section 2699.3, subd. (a). (§1.34; Nordrehaug Decl., ¶7, Ex. 3.)

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Non-Participating

Class Members who are Aggrieved Employees will be bound by the PAGA release to the extent required by law upon entry of Judgment, and remain eligible for an Individual PAGA Payment to the claims identified in Paragraph 6.3 of this Agreement. (§8.5(e))

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Named Plaintiff

will additionally provide a general release and §1542 waiver. (§6.1)

o Plaintiff's Waiver of

Rights Under Civil Code Section 1542 expressly excludes the Plaintiff's individual claims, which are subject to a separate Confidential Settlement Agreement. Plaintiff represents that he has additional individual claims against Defendant for retaliation and wrongful termination for complaints made to the Department of Health and false reporting to the Employment Development Department, which he is separately settling. In addition to the Gross Settlement Amount, Plaintiff will also separately be paid for resolution of his individual claims as set forth in a separate Confidential Settlement Agreement. If the Court requires the Parties to submit the terms of the Confidential Settlement Agreement to obtain approval of this Settlement, the Parties agree that the Confidential Settlement Agreement will be submitted in camera under seal to the Court. The separate agreement is independent, does not change class consideration, and does not increase the Gross Settlement Amount. (Ibid.)

See below under “Class Certification” section.

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“Released Parties” means: Defendant and each of its former and present directors, officers, shareholders, owners, attorneys, insurers, predecessors, successors, assigns, parents, members, managers, employees, agents, benefit plans, and third-party administrators, and subsidiaries. (¶1.41)

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May conditional class certification be granted?

1. Standards

A

detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (*Amchem Products, Inc. v. Windsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1807 fn. 19.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 240.)

2. Analysis

a. Numerosity. There are approximately 357 Class Members. (*Nordrehaug Decl.*, ¶30.a.) This element is met.

b. Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (*Sevidal v. Target Corp.* (2010) 189 Cal.App.4th 905, 919.) Class Members are identifiable through Defendant’s records. (*Nordrehaug Decl.*, ¶30.a.)

c. Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiff contends that common questions of law and fact are present, specifically the common questions of whether Defendant’s employment practices were lawful, whether Defendant failed to provide meal and rest periods to Class Members, whether Defendant’s round practices were lawful, whether Class Members were lawfully compensated for all hours worked, whether Defendant failed to provide required expense reimbursement, and whether Class Members are entitled to damages and penalties as a result of these practices. Plaintiff contends that certification of this Class is appropriate because Defendant allegedly engaged in uniform practices with respect to the Class Members. As a result, these common questions of liability could be answered on a class wide basis. (Nordrehaug Decl., ¶30.b.)

As to typicality, Plaintiff contends that the typicality requirement is fully satisfied. Plaintiff, like every other member of the Class, was employed by Defendant as a non-exempt employee, and, like every other member of the Class, was subject to the same employment practices. Plaintiff, like every other member of the Class, also claims owed compensation as a result of the Defendant’s uniform company policies and practices. Thus, the claims of Plaintiff and the members of the Class arise from the same course of conduct by Defendant, involve the same issues, and are based on the same legal theories. (Nordrehaug Decl., ¶30.c.)

Finally, as to adequacy, Plaintiff does not have conflicts of interest with other Class Members, understands his obligations as Class Representative, has been active in the litigation of the case, and is represented by experienced counsel. (Nordrehaug Decl., ¶30.d; see Declaration of Eugene Zaldivar, Jr.)

In light of Plaintiff’s separate settlement agreement, the Court needs further briefing on the following questions:

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How did the parties negotiate this settlement? Provide a copy of the individual settlement for the Court to review.

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How is Plaintiff an adequate and typical representative in light of this individual settlement agreement? How does the individual settlement not extinguish Plaintiff's ability to act as a Class Representative or Aggrieved Employee or pose an irrevocable conflict of interest with other Class Members?

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Why is a class representative incentive award still reasonable?

d. Adequacy of class counsel. As indicated above, Class Counsel have shown experience in class action litigation, including wage and hour class actions.

e. Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

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Is the notice proper?

1. Content of class notice. The proposed notice is attached to the Settlement Agreement as Exhibit A. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

The Notice will be mailed to Class Members in English and Spanish. (¶1.11)

Address the following issues in the Notice:

1) Ensure that there are no typographical errors in the Notice. For example, on page 3, the Notice states “Witten Challenges Must be Submitted by the Response Deadline.”

2) Ensure that ¶3 of the Notice is updated to reflect the Administration Expenses.

3) The links provided at ¶¶8, 9 and 10 of the Notice directing Class Members to the Superior Court website are invalid. Provide valid links.

2. Method of class notice.

Class

Data: Not later than 15 days after the Court grants Preliminary Approval of the Settlement, Defendant will deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2)

Notice will be mailed. Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service (“USPS”) mail, the Class Notice with Spanish translation. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶8.4(b))

Not

later than 7 days after the Administrator’s receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not

provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (§18.4(c)) The deadlines for Class Members' written objections, Challenges to Workweeks and/or Pay Periods, and Requests for Exclusion will be extended an additional 14 days beyond the Response Deadline provided in the Class Notice for all Class Members whose notice is re-mailed. The Administrator will inform the Class Member of the extended deadline with the re-mailed Class Notice. (§18.4(d))

Notice

of any changes to the date, time, and location of the Final Approval Hearing and the Final Judgment will be posted on the administrator's website. (§18.8(a))

3. Cost of class notice. As

indicated above, settlement administration costs are estimated to be \$12,100.

Prior to the time of the final fairness

hearing, the administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

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Attorney fees and costs

CRC

rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney

fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22

Cal.4th 1084, 1095-1096; Ramos v.

Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases,

the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any

agreement by the parties to the contrary, “the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable.” (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to \$383,333 (1/3 of GSA) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Class Counsel should also be prepared to justify the costs (capped at \$44,000) sought by detailing how they were incurred.

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Incentive Award to Class Representative

The named Plaintiff will request an enhancement award of \$15,000. In connection with the final fairness hearing, Plaintiff must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. Plaintiff must explain why he or she “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’” Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement award at the time of final approval.

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LOS

ANGELES SUPERIOR COURT, COMPLEX CIVIL DEPARTMENT

CHECKLIST

FOR

PRELIMINARY

APPROVAL OF CLASS ACTION SETTLEMENT

Department:

SSC-11

RE:

Eugene Zaldivar, Jr. v. Alakor

Healthcare LLC (Case No. 24STCV04927)

In reviewing your motion
for preliminary approval of class action settlement, the Court orders further
briefing on the items checked below.

The additional briefing
shall be due by _____, 2026. Note: if briefing is not filed by said date
the hearing will be placed off calendar. Your hearing date set for _____, is
continued to the first available date of
_____ at _____ in Department 11.

This checklist
provides direction on what information and argument the court requires to grant
a motion for preliminary approval of a class action settlement. All parties are urged to carefully review the
checklist and fully comply with each item that applies to the case in order
that the motion may be promptly ruled upon. The content of the motion should follow the
same order as this checklist, as that is how the judge and research attorney
review the motion.

You should also consider using the form wage and hour
settlement agreements now available on the court's website at <https://www.lacourt.org/forms/all> – "Civil Forms" section.
With input and unanimous consensus from an Ad Hoc Wage and Hour
Committee (chaired by Judge Hogue and Judge Cunningham and comprised of 8
plaintiff's attorneys and 8 defense attorneys), the court has posted: (1) a form class action settlement
agreement, (2) a form class action/PAGA settlement

agreement, (3) and a form PAGA settlement agreement. Using these forms should cut down on attorney negotiation time and reduce the lag time between a successful mediation and execution of a long form agreement. Filing a motion that is based on a form agreement and includes a redlined copy identifying modifications will also expedite the court's review process and help reduce the current backlog on hearings. These forms are encouraged but entirely optional.

I.

MOVING PAPERS (Motion and Declarations)

All facts

submitted for the court to consider must be provided in the form of a declaration or other admissible evidence. The court will not consider facts stated only in the motion.

A. Introductory Information

¿ Summary

of the litigation, including identity of the parties, brief procedural history, claims asserted, and general factual basis for the claims.

B. Dunk/Kullar Analysis

¿ Summary

of the case, including the legal and factual basis for each claim. (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 133 (Kullar); Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 409.)

¿ Summary

of the investigation and discovery conducted, including the specific documents reviewed prior to agreeing to settle the case. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1802, as modified Sept. 30, 1996 (Dunk).) If counsel's analysis was informed by a data sample, show that the sample is statistically reliable.

¿ Summary of settlement

negotiations, including when the settlement was reached, and

whether the parties were assisted by a mediator. (Dunk, supra, 48 Cal.App.4th at p. 1802.)

¿ A summary of the risks, expenses, complexity, and duration of further litigation if the

settlement is not approved.

¿ A summary of the risks of achieving and maintaining class action status.

¿ Specific information sufficient for the court to make an independent determination that the consideration being received for the release of class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation. (Kullar, supra, 168 Cal.App.4th at 129.) This discussion should specify the maximum realistic recovery of each claim asserted in the operative complaint, defenses asserted by Defendant, and any other relevant factors justifying the amount offered in settlement. If the settlement is predicated on a payment plan or is predicated on defendant's financial situation, admissible evidence of Defendant's financial situation should be provided, including appropriate financial documents such as a balance sheet, statement of cash flows, profit and loss statement, and the like.

¿ If approval of the settlement of class claims is requested together with approval of non-class claims (such as claims under the Labor Code's Private Attorney General Act (PAGA)) discuss why the amount allocated to the non-class claims is fair to those affected. See *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 77 (Moniz).

C. Class Certification

¿ Numerosity: Total number of members in the settlement class and number of members in each sub-class (if applicable).

¿

Ascertainability: The manner by which members of the class will be identified and when. (Noel v. Thrifty Payless (2019) 7 Cal.5th 955.)

¿

Community of Interest: Discuss specific facts showing that the proposed class representatives have claims or defenses typical of the class and can adequately represent the class. (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

¿

Adequacy:

Class Counsel: A summary of Class Counsels' experience and a listing of all prior cases in which each named Class Counsel has been approved by a court to act as lead or co-counsel. (See Dunk, supra, 48 Cal.App.4th at p. 1802.)

Class Representative(s): Provide evidence that each proposed class representative has agreed to act as same and understands his or her responsibilities.
(See Soderstedt v. CBIZ Southern California, LLC (2011) 197 Cal.App.4th 133, 155-156; Jones v. Farmers Ins. Exchange (2013) 221 Cal.App.4th 986, 998-999).

In light of Plaintiff's separate settlement agreement, the Court needs further briefing on the following questions:

.

How did the parties negotiate this settlement? Provide a copy of the individual settlement for the Court to review.

.

How is Plaintiff an adequate and typical representative in light of this individual settlement agreement? How does the individual settlement not extinguish Plaintiff's ability to act as a Class Representative or Aggrieved Employee or pose an irrevocable conflict of interest with other Class Members?

Why is a class

representative incentive award still reasonable?

D. Claim

Requirement (if applicable)

¿ If

class members are required to submit a claim to receive compensation, explain why a claim form is necessary and either 1) provide an estimate of the anticipated claims rate or 2) provide an explanation why a claims rate cannot be provided.

¿ Provide

a detailed explanation why a "claims made" settlement is appropriate in this case.

¿ Indicate

what actions class counsel will take to encourage claim submission.

¿ Explain

why the claims process is not so burdensome that relief would be inaccessible to class members (if applicable).

E. Miscellaneous

¿ If

appropriate, explain why the settlement includes terms that are outside the scope of the operative complaint. (Trotsky v. Los Angeles Fed. Savings & Loan Assn. (1975) 48 Cal.App.3d 134, 148.) If approval of settlement of a PAGA claim is requested provide a copy of Plaintiff's notice letter to the LWDA.

¿ If

notice will be given in English only, explain why this is sufficient.

¿ A

statement of any affirmative obligations to be undertaken by the class member or class counsel and the reason for such obligations.

¿ Provide

information regarding any fee splitting agreement and whether the client has given written approval. (Mark v. Spencer (2008) 166 Cal.App.4th 219; Rules Prof. Conduct, rule 1.5.1; Cal. Rules of Court, rule 3.769.)

¿ Any

agreement that has injunctive relief against a class representative generally is not appropriate in a class action case. Provide the authority and factual reasons why this case is an exception. See Moniz, supra, 72 Cal.App.5th at 84. (“[T]he preclusive effect of a prior judgment is determined by the court in which it is asserted, not the court that rendered it.” (Fireside Bank Cases (2010) 187 Cal.App.4th 1120, 1131 [115 Cal. Rptr. 3d 80].))

¿

Explanation as to why any class representative enhancement is reasonable, including what the class representative did beyond the expected services of any class representative. (Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 412; Radcliffe v. Experian Information Solutions Inc. (9th Cir. 2013) 715 F.3d 1157, 1165.) In PAGA settlements explanation should be provided as to why an incentive award is appropriate.

.

Each Plaintiff’s Class Representative

payment should not exceed \$7,500, absent substantial justification. Provide justification for a payment of \$15,000.

SETTLEMENT

AGREEMENT

The settlement

agreement should address the following:

A. The

Basics

¿ Class

definition. If a PAGA representative action is settled with a proposed Class Settlement consider whether there should be separate definitions for Class Members and Aggrieved Employees.

According to the Notice at pages 1, 5, and 8, and the Proposed Order at ¶9, the PAGA Period begins on January 11, 2023. However, according to the Settlement Agreement, the PAGA Period begins on October 20, 2022. (¶1.32) Address this inconsistency.

¿ Class

and Release Period: If the class and release periods extend beyond the preliminary approval explain why this is appropriate.

B. Release of Claims

¿ Scope:

The scope of any release given by class members must be defined with precision and clarity. Any released claims not presented directly in the operative complaint should be based on the facts alleged in the operative complaint. (See *Amaro v. Anaheim Arena Mgmt.* (2021) 69 Cal. App. 5th 521, 537 and FN. 5; *Uribe v. Crown Building Maintenance Co.* 70 Cal. App. 5th 986, 1005.)

¿ Class

cases which include a PAGA claim should have a separate release for the PAGA claim tied to the facts alleged in the notice given to the LWDA. Id.

¿ If PAGA and Class

Settlement: The Release and Notice should provide an explanation that released claims include all PAGA claims that could have been premised on the facts alleged in the Plaintiff's LWDA Letter and aggrieved employees will release PAGA claims even if class members request exclusion from the class. See *Robinson v. Southern Counties Oil Co.* (2020) 53 Cal.App.5th 476.

¿ A Civil

Code section 1542 waiver is generally not appropriate in a class action case as to the putative class members (if applicable). Provide the authority and factual reasons why this case is an exception. (*Israel-Curley v. California Fair Plan* (2005) 126 Cal.App.4th 123, 129; *Salehi v. Surfside III Condominium Owners' Assn.* (2011) 200 Cal.App.4th 1146, 1159–1161.)

¿ Release

Effective Date: Indicate the point in time at which the release will be deemed effective as to the absent class members. If the release will be effective before settlement funds are paid, explain why this is in the best interest of the class.

¿ Class

Data: If there are confidentiality provisions, explain why they are in the best interest of the Class and whether they will impede Class Counsel's ability to discharge fiduciary duties.

C. Monetary Terms of Settlement

¿

Settlement Amount: Indicate the amount of the gross settlement, how and when the

settlement will be paid, and information regarding payment plan, if any. If a class claim is being settled with a PAGA claim the amounts allocated should be separated and paid only to the aggrieved employees.

¿

Deductions from the settlement fund: Indicate the amounts to be deducted from the gross settlement for attorneys' fees and costs, plaintiff incentive awards, administrative costs, PAGA payment and allocation of award to LWDA and the parties, and any other existing deductions.

¿ If

there are subclasses, explain why the monetary distribution is fair to each subclass. Ensure there is a class representative who fits the definition of each subclass.

¿

Information about how attorney fees will be calculated. The percentage method, with or without a lodestar cross-check, may be used in common fund cases. (*Laffitte v. Robert Half Internat., Inc.* (2016) 1 Cal.5th 480, 503.) In other cases, counsel should fully brief how the fees are calculated.

¿ If

wages are involved, explain how Defendant's share of taxes will be paid.

¿

Whether, and under what circumstances, amounts may revert to Defendant, and a

justification for such reversion (if applicable). (Cundiff

v. Verizon California, Inc. (2008) 167 Cal.App.4th 718, 728–729.)

¿ Payment

Formula: Amount and manner of distribution of the compensation to each class member, including the estimated amount each class member will receive and the timeline on which payments will be issued.

.

Ensure that the disbursement of the Class

Counsel Fees and Litigation Expenses Payments and the Class Representative

Service Payment does not precede disbursement of the Individual Class and

Individual PAGA Payments.

¿ Tax

allocation of settlement payments.

¿ Nature

of injunctive relief (if any), and valuation of such relief.

D. Notice Administration

The following

issues regarding notice administration should be addressed in the settlement

agreement. A copy

of the proposed notice must be attached to the settlement agreement as an

exhibit.

¿

Indicate the administrator for the settlement and why the bid for

administration is fair.

¿ Provide

the qualifications and experience of the Administrator, including evidence that

the settlement administrator has procedures in place to protect the security of class data and adequate insurance in the event of a data breach or defalcation of funds.

¿

Indicate how/when the administrator will receive the class list.

¿

Indicate whether the list will be updated by the administrator prior to the initial mailing by use of National Change of Address Registry.

¿ Provide

the deadline for the initial issuance of notice to class members.

¿ Ensure

the content of the notice complies with California Rules of Court, rule 3.766(d). In wage and hour cases the notice should indicate the specific amount the class member will receive and how that amount was calculated. A separate breakdown for PAGA payments should be provided. The terms of the release(s) should be reflected in the Notice.

Address the following issues in the Notice:

1.

Ensure that there are no typographical errors in the Notice. For example, on page 3, the Notice states "Witten Challenges Must be Submitted by the Response Deadline."

2.

Ensure that ¶3 of the Notice is updated to reflect the Administration Expenses.

3.

The links provided at ¶¶8, 9 and 10 of the Notice directing Class Members to the Superior Court website are invalid. Provide valid links.

¿ Ensure

the notice accurately reflects the Court's current social distancing procedures for attendance at hearings and review of court files. (Counsel should check the

Court website for most current information.)

¿

Indicate how and when payments will be processed.

¿ Indicate

how notices returned to the administrator as undeliverable will be handled.

¿ Explain

how re-mailed notices, if any, will be handled. Will class members who receive re-mailed notices be given an extended deadline to respond (i.e., opt-out, object, and dispute workweeks)?

¿ Explain

how notice of any change of the date or location of the hearing will be given.

¿

Indicate whether there will be a settlement website. If so, provide the URL.

¿ If

publication notice will be given indicate the timing, locations, and manner by which publication notice will be disseminated.

¿

Explain how notice of final judgment will be given to the class. (Cal. Rules of Court, rule 3.771(b)) (e.g. Posted on administrator's website.)

E. Responses to Notice

¿

Description of the procedures for submitting written objections, requests for exclusion, claim forms (if applicable) and disputes to estimated payments.

¿

Indicate the deadline to submit objections, requests for exclusion, claim forms (if applicable), and/or disputes to workweeks. Confirm the deadline is reasonable and that class members who receive re-mailed notices will be given an extension.

¿ The

objection procedure should be the same as the opt-out procedure, with the only requirement being that objections be mailed to the settlement administrator and not filed with the court.

¿ Do not

include language indicating that class members may only be heard at final approval if they have complied with all objection procedures or that they must use specific language to request exclusion, or, if a specific procedure is sought, explain why it is necessary. In general, the court will hear from any class member who attends the final approval hearing and asks to speak regarding his or her objection.

F. Cy Pres Distribution

¿

Indicate the length of time from issuance for which settlement checks will remain valid.

¿

Identify the fund to which uncashed checks will be directed and detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384. The Court's Omnibus Trailer Bill of 2018 replaced the language of the prior statutory distribution scheme under Code of Civil Procedure, section 384 with a requirement that the Court re-open judgments following the final distribution of funds to include the cy pres in the judgment and to include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

¿ Why is

it proper for Aggrieved Employees' uncashed checks to be directed to a cy pres recipient instead of the State Controller's Unclaimed Property Fund?

¿ Explain

why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate. (State of California v. Levi Strauss & Co. (1986) 41 Cal.3d 460, 472; In re Microsoft I-V Cases (2006) 135 Cal.App.4th 706, 722; Nachshin v. AOL, Inc. (9th Cir. 2011) 663 F.3d 1034, 1038–1041; Dennis v. Kellogg Co. (9th Cir. 2012) 697 F.3d 858, 865; Code Civ. Proc., § 384.)

¿

Provide declarations by all parties and counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the cy pres recipient.

· Provide the sworn

declarations of Plaintiff, Class Counsel, and Defendant's counsel.

G. MISCELLANEOUS

¿ Assure the Settlement Agreement and Notice

are consistent and that the Settlement Agreement (including revised versions) has been signed by all parties and counsel. Carefully proofread both.

¿ The

Settlement Agreement and paperwork derivative thereof should not suggest that the end result of court approval will be dismissal of the Action with prejudice or entry of a Final Judgment and Order dismissing with prejudice all claims.

See

California Rules of Court, rule 3.769(h).

III. EXHIBITS TO THE MOTION

¿

Provide proof of submission of the proposed settlement agreement to the LWDA. (Lab. Code, § 2699, subd. (l)(2).)

¿ Include

a proposed Judgment, which should not include a dismissal or any findings not contained in the Final Approval Order. (Cal. Rules of Court, rule 3.769(h).)

¿ All

exhibits should be bookmarked, as set forth in the Presiding Judge's First Amended General Order of May 3, 2019 re: Electronic Filing, available on the Court website.

If the Settlement Agreement is modified pursuant to this checklist, please submit both a red-lined copy showing changes made as well as

a final version signed by all parties and counsel. Do not submit an addendum in lieu of a full amended settlement agreement including all operative settlement terms.

Modify notice to match any alterations to the Settlement Agreement.

Date: August 12, 2026

JUDICIAL
OFFICER